

DECKERS OUTDOOR CORP

DECK · SEC-registered · Initiating Coverage · August 06, 2026

Buy

12-month price target: **\$128.00** | Current price: **\$99.68** | **28.4% upside**

Market data

Market capitalization	\$14 bn
Enterprise value (DCF)	\$14 bn
Diluted shares	136.2M
Balance sheet	net cash \$1.9 bn
WACC	9.55%

Valuation (\$/share)

DCF — Gordon growth	\$117.54
DCF — exit multiple	\$135.76
Trading comps (EV/EBITDA)	\$128.78
Scenarios (bear / bull)	\$83.04 / \$158.43

Financial snapshot

	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue (\$mm)	5,965	6,442	6,893	7,307	7,672
EBIT margin	23.0%	23.0%	22.5%	22.5%	22.0%

Investment thesis

We initiate coverage of Deckers Outdoor (DECK) with a Buy rating and a 12-month price target of \$128, ~28% above the current \$99.68. The market has re-rated DECK down to ~13x earnings and ~9x EV/EBITDA — near its 52-week low — on a single fear: that revenue growth, having decelerated from +24% to +10%, is rolling over. We think that fear is overpriced. DECK is a net-cash (~\$1.9B, zero debt), asset-light franchise whose operating margin has expanded ~500bp in four years to ~23% on HOKA's mix shift and a growing direct-to-consumer channel, and whose two brands — HOKA (still-growing performance running) and UGG (a mature, cash-generative franchise) — give it two independent ways to compound. Our DCF values the equity at ~\$118–136/share (midpoint ~\$127) even on deliberately conservative assumptions: growth decelerating further to 5%, a normalized steady-state terminal value, and an exit multiple of 11x — well below where premium footwear compounders trade at peak. The risk/reward is asymmetric: you are paying a trough multiple for a debt-free, high-return business that still grows.

Analyst: William Mar (independent educational project). USD in millions unless noted.

This report is an educational project and is not investment advice. It was produced from public SEC EDGAR data used under the SEC's fair-access policy without implying SEC endorsement. All projections are the author's own assumptions, labeled as such, and are never presented as fact. Nothing herein is a recommendation, offer, or solicitation to buy or sell any security.

Data source: SEC EDGAR XBRL CompanyFacts (public domain).

Executive Summary

Investment thesis

We initiate coverage of Deckers Outdoor (DECK) with a Buy rating and a 12-month price target of \$128, ~28% above the current \$99.68. The market has re-rated DECK down to ~13x earnings and ~9x EV/EBITDA — near its 52-week low — on a single fear: that revenue growth, having decelerated from +24% to +10%, is rolling over. We think that fear is overpriced. DECK is a net-cash (~\$1.9B, zero debt), asset-light franchise whose operating margin has expanded ~500bp in four years to ~23% on HOKA's mix shift and a growing direct-to-consumer channel, and whose two brands — HOKA (still-growing performance running) and UGG (a mature, cash-generative franchise) — give it two independent ways to compound. Our DCF values the equity at ~\$118–136/share (midpoint ~\$127) even on deliberately conservative assumptions: growth decelerating further to 5%, a normalized steady-state terminal value, and an exit multiple of 11x — well below where premium footwear compounders trade at peak. The risk/reward is asymmetric: you are paying a trough multiple for a debt-free, high-return business that still grows.

Key financials

USD mm, FY ending	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	3,627	4,288	4,986	5,472	5,965	6,442	6,893	7,307	7,672
EBIT margin	18.0%	21.6%	23.6%	23.1%	23.0%	23.0%	22.5%	22.5%	22.0%
Diluted EPS	\$3.23	\$4.86	\$6.33	\$7.02	—	—	—	—	—
Free cash flow	618	1,123	1,131	1,267	443	1,147	1,236	1,361	1,440

USD in millions. FCF = cash from operations + capital expenditures (capex is signed negative per the engine convention). Columns marked E are forecast (assumption-driven), not fact.

Catalysts

- HOKA international expansion and new-franchise launches sustaining high-single-digit-plus growth as the U.S. run-rate matures
- Continued gross-margin resilience near the ~58% record on DTC mix and disciplined promotion — refuting the 'margins have peaked' bear case
- Aggressive buybacks against the ~\$1.9B net-cash balance shrinking the share count (already ~146M to ~136M), compounding per-share value
- A multiple re-rating back toward the peer/historical range as the market gains confidence that decelerating growth is not the same as no growth

Valuation summary

Our 12-month target of **\$128.00** is triangulated across a DCF (implied \$117.54–\$135.76), trading comparables (implied \$128.78 on peer EV/EBITDA), and precedent transactions. Against the current price of \$99.68 this implies 28.4% upside. We weight the DCF most heavily (it best captures DECK's cash generation and net-cash balance sheet), cross-checked against trading comps and precedent transactions; the \$128 target sits at the DCF midpoint (~\$127) and squarely on the comps EV/EBITDA read (~\$129) — a coherent triangulation.

Company Overview

Deckers Outdoor designs and markets footwear and apparel under two flagship brands and several smaller ones. HOKA — performance running and trail footwear — is the growth engine, having scaled from a niche brand to the majority of incremental revenue on the strength of maximalist-cushion product and expanding retail distribution. UGG — sheepskin boots and casual footwear — is the mature, seasonally-weighted, highly cash-generative franchise that funds the portfolio. DECK is asset-light: manufacturing is outsourced, so capital intensity is low (~1.5% of revenue) and cash conversion is high. The company's fiscal year ends in March; it carries no debt and ~\$1.9B of cash, and returns capital through share repurchases rather than a dividend.

Brand-level net sales

Net sales (USD mm), FY ending	FY22	FY23	FY24	FY25
HOKA	891	1,414	1,807	2,233
UGG	1,809	1,918	2,208	2,533
Other	450	295	273	220

Brand-level net sales are sourced from Deckers' Form 10-K disaggregation-of-revenue / segment footnotes; brand splits are a curated input (not carried in the core XBRL income-statement tags), and the brand total reconciles to the SEC-reported total revenue each year (the residual is shown as Other).

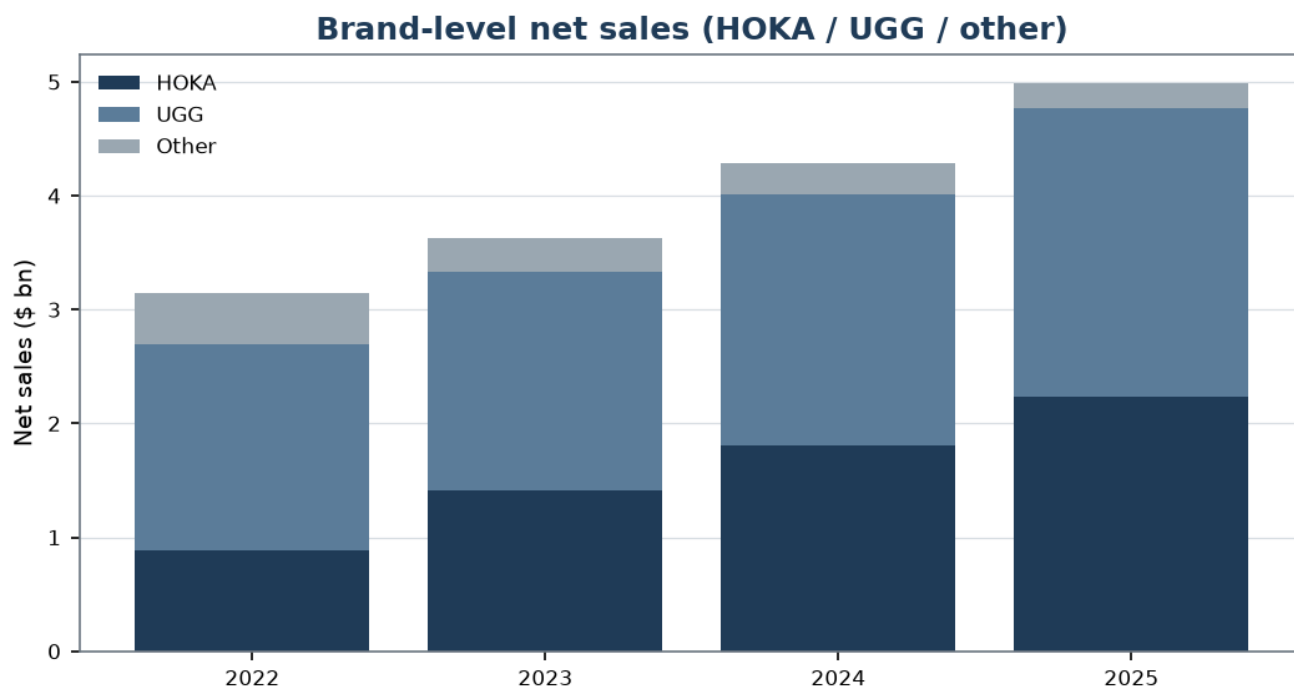


Figure. Brand-level net-sales mix and growth (HOKA vs UGG). Source: curated from Deckers 10-K segment footnotes.

Industry & Competitive Analysis

The athletic and casual footwear market is large, brand-driven, and competitive, spanning global scale players (Nike) and focused challengers (Crocs, On, Birkenstock). DECK competes on brand equity and product differentiation rather than price, and its DTC shift lets it capture full retail margin and own the customer relationship. We select the peer set for comparability of driver story — brand-led footwear/apparel with meaningful DTC — spanning pure footwear names (Nike, Crocs, Steve Madden), diversified apparel (VF Corp, Columbia, Wolverine), and footwear retail (Boot Barn, Caleres). No single peer is a perfect match, which is why we anchor valuation on the DCF and use comps as a triangulation check.

Peer	EV	EV/Rev	EV/EBITDA	P/E
NKE — NIKE, Inc.	\$107 bn	2.3x	—	34.3x
CROX — CROCS, INC.	\$5 bn	1.3x	23.7x	—
WWW — WOLVERINE WORLD WIDE, INC.	\$1 bn	0.8x	8.2x	15.0x
SHOO — STEVEN MADDEN, LTD.	\$2 bn	0.8x	18.7x	43.5x
COLM — COLUMBIA SPORTSWEAR COMPANY	\$3 bn	1.0x	13.2x	19.6x
VFC — V. F. CORPORATION	\$5 bn	0.6x	6.4x	21.4x
BOOT — Boot Barn Holdings, Inc.	\$5 bn	2.2x	13.1x	21.9x
CAL — CALERES, INC	\$1 bn	0.2x	12.4x	—
Peer median		0.9x	13.1x	21.7x

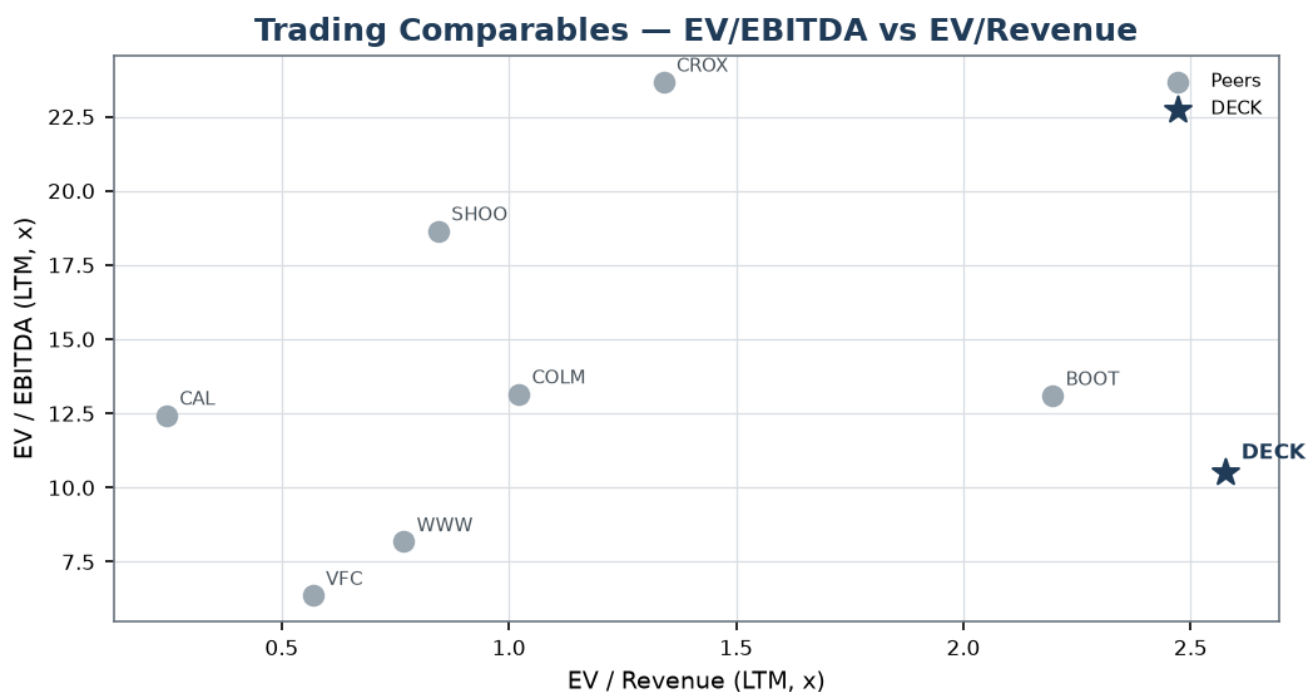


Figure 1. Trading comparables — valuation multiples with DECK highlighted. Multiples are computed by the engine from SEC-reported financials; peer prices and share counts are illustrative, approximate as-of quotes (external to SEC XBRL), so the peer multiples are indicative and used only as a cross-check on the DCF.

Financial Analysis

DECK's five-year record is one of durable growth with structural margin gains: revenue compounded from ~\$3.2B (FY22) to ~\$5.5B (FY26) while gross margin expanded ~700bp to ~58% and operating margin rose to ~23%, driven by HOKA's favorable mix and the DTC shift. Free cash flow has been strong and rising (operating cash flow ~\$1.2B in FY26), funding an accumulating net-cash position and steady buybacks. Our forecast extends this pattern conservatively: revenue growth glides from ~9% to ~5% over five years (continuing the observed deceleration rather than assuming a cliff or a reacceleration), gross margin eases modestly off the record as promotional intensity normalizes, and capital intensity stays low. The result is continued high-return, cash-generative growth — the engine of the DCF.

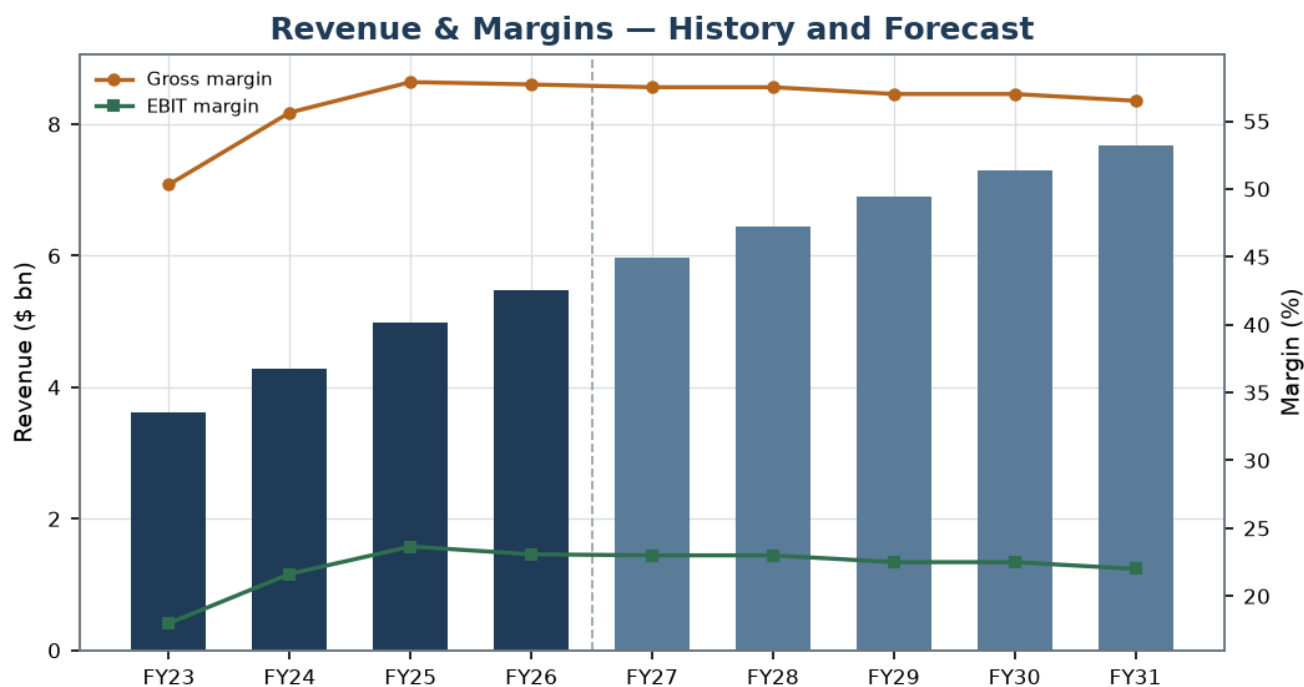


Figure 2. Revenue with gross- and EBIT-margin trend, history and forecast. Source: statement model.

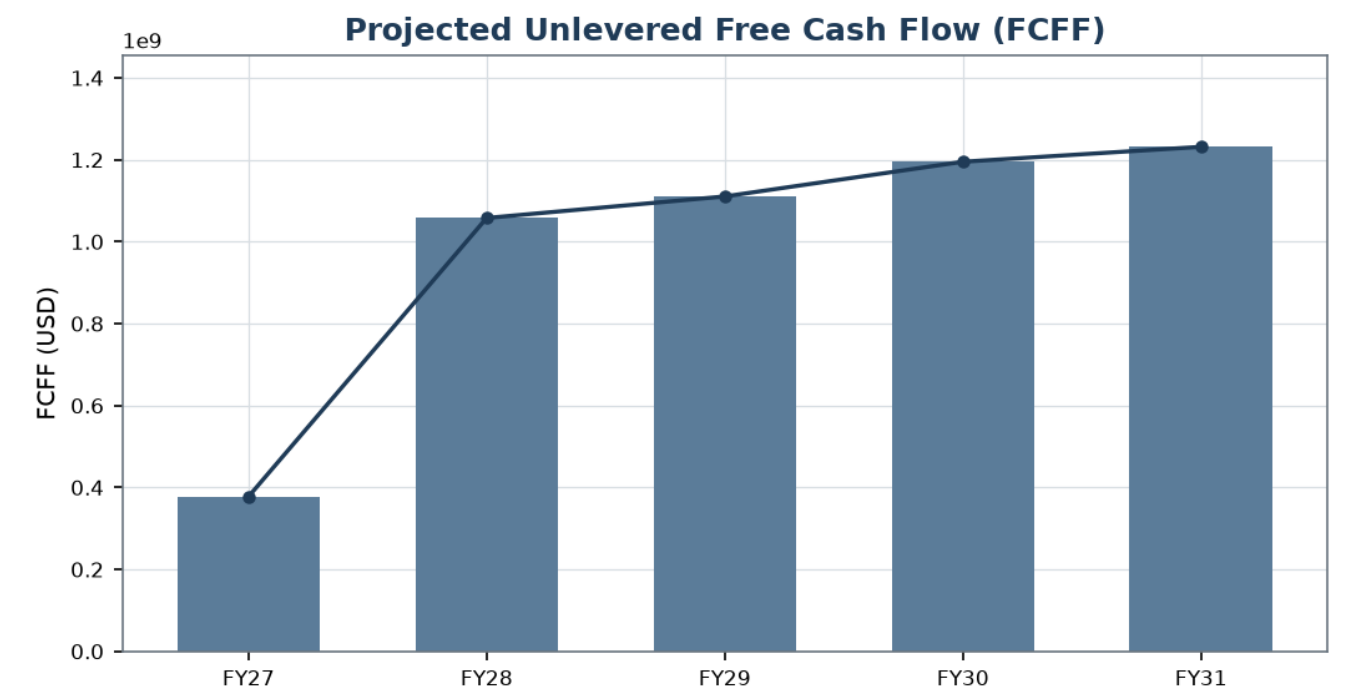


Figure 3. Projected unlevered free cash flow (FCFF). Source: DCF engine (fcff_by_year).

Valuation

Discounted cash flow — WACC

WACC build (CAPM)

Risk-free rate (10Y UST)	4.3%
Levered beta	1.05
Equity risk premium	5.0%
Cost of equity (CAPM)	9.55%
Pre-tax cost of debt	6.0%
Tax rate	23.5%
After-tax cost of debt	4.6%
Weight of equity / debt	100.0% / 0.0%
WACC	9.55%

DCF — terminal value & equity bridge

Terminal growth (Gordon): 3.0% · Exit EV/EBITDA: 11.0x · Mid-year convention: yes. Terminal growth is below WACC (Gordon model is valid).

DCF (USD mm)	Gordon growth	Exit multiple
PV of explicit FCFF	\$3,853 mm	\$3,853 mm
Terminal value	\$15,450 mm	\$20,085 mm
PV of terminal value	\$10,249 mm	\$12,729 mm
Enterprise value	\$14,102 mm	\$16,583 mm
Less: net debt (parens = net cash added back)	(\$1,907 mm)	(\$1,907 mm)
Less: minority interest	\$0 mm	\$0 mm
Equity value	\$16,010 mm	\$18,490 mm
Diluted shares (mm)	136.2M	136.2M
Implied price / share	\$117.54	\$135.76

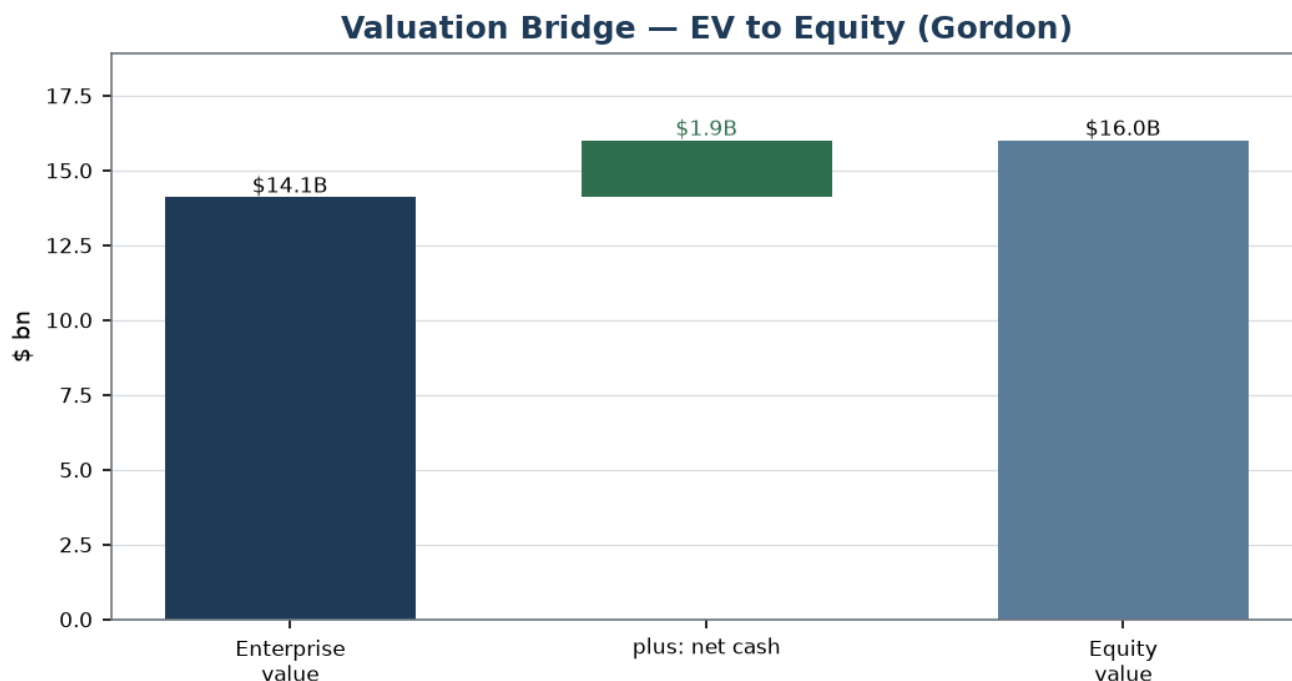


Figure. Enterprise value → equity value bridge. DECK's net cash is **added** (EV < equity value), unlike a leveraged issuer. Source: DCF engine.

Trading comparables — implied value

Applying the peer-median **EV/EBITDA** multiple to DECK's EBITDA implies **\$128.78** per share — our primary comps read, corroborating the DCF. We anchor on EV/EBITDA because it is capital-structure-neutral and the most comparable metric across this peer set; EV/Revenue and P/E are shown in the model for reference but are less meaningful here given differences in margin profile and leverage across peers. Peer market data (prices, share counts) is illustrative and approximate — external to SEC XBRL — so the comps are an indicative triangulation, not the basis of the target; the DCF anchors the call.

Precedent transactions

Transaction	EV	EV/ Rev	EV/ EBITDA	Source
2025-05-05 — 3G Capital / Skechers U.S.A. Inc.	\$9.4 bn	—	—	Skechers press release, 2025-05-05: 3G Capital to acquire Skechers for \$63.00/share, ~\$9.4B enterprise value
2021-08-12 — Authentic Brands Group / Reebok (from adidas AG)	\$2.5 bn	—	—	adidas AG press release, 2021-08-12: divestiture of Reebok to ABG for up to EUR 2.1B (~\$2.5B)
2020-11-09 — VF Corporation / Supreme	\$2.1 bn	—	—	VF Corporation press release, 2020-11-09: acquisition of Supreme for \$2.1B
2012-05-01 — Wolverine World Wide (with Blum Capital & Golden Gate Capital) / Collective Brands Performance + Lifestyle Group (Sperry / Saucony / Keds / Stride Rite)	\$1.2 bn	—	—	Wolverine World Wide press release, 2012-05-01: acquisition of Collective Brands' PLG for ~\$1.23B
2011-06-13 — VF Corporation / The Timberland Company	\$2.3 bn	—	—	

Transaction	EV	EV/ Rev	EV/ EBITDA	Source
				VF Corporation press release, 2011-06-13: acquisition of Timberland for \$43.00/share, ~\$2.3B
2024-12-17 — Steven Madden Ltd. / Kurt Geiger (from Cinven)	\$0.4 bn	—	—	Steve Madden press release, 2024-12-17: agreement to acquire Kurt Geiger for ~GBP 289M (~\$360M)

Football field & target derivation

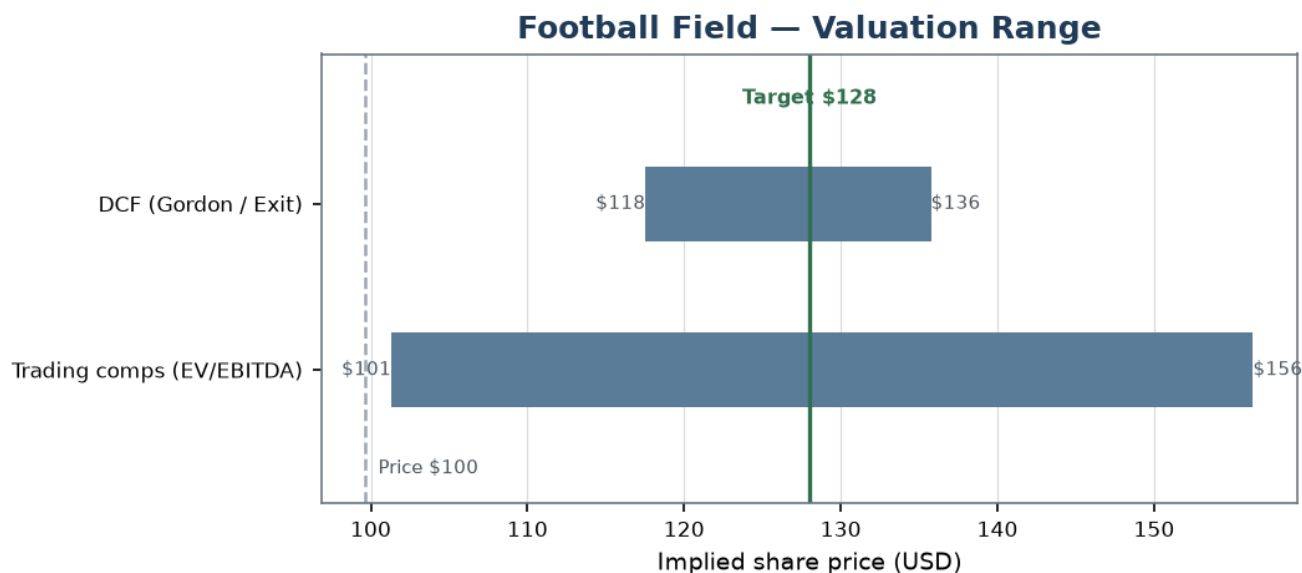


Figure 4. Valuation ranges by method with current price and target markers. Source: engine outputs.

Our \$128 12-month target is derived primarily from the DCF, which implies ~\$118 on the Gordon-growth terminal ($g=3\%$, built on a normalized steady-state terminal free cash flow) and ~\$136 on an 11x exit EV/EBITDA (discounted as a year-end sale), for a midpoint near \$127. Trading comps sanity-check the call at ~\$129 on peer-median EV/EBITDA (peer market data is illustrative, so we treat comps as a cross-check, not independent confirmation). The \$128 target therefore sits at the DCF midpoint and on the comps read. Framed as a reverse-DCF, the market is pricing something bleaker than mere caution: even a zero-terminal-growth version of our DCF is worth ~\$108 — above today's ~\$100 — so the price implies the perpetuity actually **shrinks** in real terms, not just decelerates. That is the crux of the decelerating-not-declining debate, and we think it is too harsh for a debt-free brand still growing high-single-digits. Note the net-cash balance sheet makes enterprise value smaller than equity value — the ~\$1.9B of cash is added back in the bridge, a detail that flatters per-share value relative to leveraged peers.

Sensitivity — implied price by WACC and terminal growth

g \ WACC	8.6%	9.0%	9.6%	10.1%	10.5%
2.0%	\$119.95	\$112.97	\$106.94	\$101.70	\$97.10
2.5%	\$126.78	\$118.74	\$111.87	\$105.94	\$100.78
3.0%	\$134.84	\$125.46	\$117.54	\$110.79	\$104.96

g \ WACC	8.6%	9.0%	9.6%	10.1%	10.5%
3.5%	\$144.50	\$133.39	\$124.16	\$116.38	\$109.73
4.0%	\$156.28	\$142.89	\$131.97	\$122.89	\$115.23

Gordon implied price per share as WACC and the terminal growth rate g vary around the base case (9.55% / 3.0%, the centre cell; column headers are rounded to one decimal). The band brackets the target across a defensible range of the two inputs the DCF is most sensitive to; cells where g ≥ WACC are omitted (Gordon undefined).

Sum-of-the-parts cross-check (HOKA / UGG)

Brand (USD mm)	Net sales (LTM)	EV/Revenue	Implied EV
HOKA	2,233	3.75x	8,374
UGG	2,533	2.10x	5,319
Other	220	1.00x	220
Total enterprise value			13,913
Plus: net cash (added back)			(1,907)
Equity value → per share			\$116.15

A cross-check, not the target basis: brand net sales are sourced from the 10-K, but per-brand EV/revenue multiples are illustrative analyst judgment (HOKA a growth premium, UGG a mature-franchise multiple), anchored so the blend reconciles to the consolidated DCF (~\$117.54 Gordon). Brand EBITDA is not disclosed, so this is deliberately an EV/revenue cross-check, not a fabricated brand-EBITDA build.

Scenario analysis (bull / base / bear)

Scenario	Rev CAGR	Term. g	Exit EV/EBITDA	Implied price (mid)
Bear	2.0%	2.0%	8.0x	\$83.04
Base	7.0%	3.0%	11.0x	\$126.65
Bull	10.0%	3.5%	13.0x	\$158.43

Each scenario runs the same statement + DCF engine on its own driver set; the current price sits near the bear case, framing the asymmetry.

Risks

- Growth deceleration proves structural, not cyclical: if HOKA's momentum stalls or the brand cycles, the whole thesis weakens — this is the central risk and the reason the stock is where it is
- Fashion/seasonality risk at UGG: a warm winter or a shift in taste can swing a large, high-margin portion of profit
- Margin give-back: the ~58% gross margin is at a record; renewed promotional intensity, freight inflation, or tariff exposure on outsourced manufacturing could compress it faster than we model
- Multiple risk: our target assumes a partial re-rating; if the market keeps DECK at a trough multiple despite steady execution, returns come only from earnings growth and buybacks, not re-rating
- Concentration and competition: two brands drive nearly all value, in a category where well-funded competitors (Nike, On, Birkenstock) contest the same consumer

Appendix

Condensed model summary

Condensed model (USD mm)	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	3,627	4,288	4,986	5,472	5,965	6,442	6,893	7,307	7,672
Gross profit	1,825	2,385	2,886	3,158	3,430	3,704	3,929	4,165	4,335
Operating income (EBIT)	653	928	1,179	1,263	1,372	1,482	1,551	1,644	1,688
Net income	517	760	966	1,024	1,115	1,223	1,312	1,423	1,500
Total assets	2,556	3,136	3,570	3,688	4,607	5,855	7,195	8,640	10,164
Total equity	1,766	2,107	2,513	2,500	3,613	4,836	6,148	7,572	9,071
Cash from operations	537	1,033	1,045	1,182	538	1,250	1,347	1,478	1,563
Capital expenditures	81	89	86	85	-95	-103	-110	-117	-123

Projected income statement

Income statement (USD mm)	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	3,627	4,288	4,986	5,472	5,965	6,442	6,893	7,307	7,672
Cost of revenue	1,802	1,902	2,100	2,315	2,535	2,738	2,964	3,142	3,337
Gross profit	1,825	2,385	2,886	3,158	3,430	3,704	3,929	4,165	4,335
SG&A	1,173	1,458	1,707	1,895	2,058	2,222	2,378	2,521	2,647
Operating income (EBIT)	653	928	1,179	1,263	1,372	1,482	1,551	1,644	1,688
Depreciation & amortization	48	58	69	76	107	116	124	132	138
Interest expense	3	3	4	3	0	0	0	0	0
Pre-tax income	—	—	—	—	1,457	1,599	1,716	1,861	1,960
Income tax expense	149	219	277	302	342	376	403	437	461
Net income	517	760	966	1,024	1,115	1,223	1,312	1,423	1,500

DCF detail

DCF detail (USD bn)	Y1	Y2	Y3	Y4	Y5
Unlevered FCFF	0	1	1	1	1
Discount factor	0.955	0.872	0.796	0.727	0.663
PV of FCFF	0	1	1	1	1
PV of explicit FCFF	\$4 bn				
PV of terminal (Gordon)	\$10 bn				
Enterprise value (Gordon)	\$14 bn				
Less: net debt (negative = net cash)	\$-2 bn				
Equity value (Gordon)	\$16 bn				
Diluted shares	136.2 M				
Implied price (Gordon)	\$117.54				

Illustrative LBO

Illustrative LBO — sources

new_debt	\$8 bn
sponsor_equity	\$8 bn
Exit equity value	\$15 bn
IRR	13.6%
MOIC	1.90x

Illustrative only: DECK carries no debt today. This models what a leveraged buyer could earn assuming the entry premium, leverage, cash sweep, and exit multiple in the assumptions ledger — a mechanics exercise, not a base-case expectation for a net-cash company.

Methodology & assumptions

Historical statements are normalized from SEC EDGAR XBRL CompanyFacts and tie out to reported facts. Projections are driven by the assumptions ledger (see docs/ASSUMPTIONS.md). The DCF discounts unlevered FCFF at the WACC derived above; two terminal methods (Gordon growth and exit multiple) bracket terminal value.

Verification summary

Every figure in this report is generated by the Python reference engine. In the companion workbook, the full income-statement projection chain, WACC build, and DCF valuation & bridge are written as live Excel formulas and recalculated cell-by-cell against the engine to the cent (Excel↔Python differential, 38 cells); historical statement lines reconcile to SEC-reported facts to the dollar. Accounting invariants (balance-sheet balance every period, cash-flow tie-out to balance-sheet cash, retained-earnings and PP&E rolls) are enforced at build time, and a full rebuild is deterministic.

Data source

SEC EDGAR XBRL CompanyFacts API (public domain).

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